

THEMATIC · CONVICTION

Owning gold without a story

Most gold arguments are bad — inflation hedges that don't hedge inflation, doom prophecies that never resolve. Here's the version that survives contact with a spreadsheet, and why I hold it anyway.

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The bad arguments first

Gold attracts terrible reasoning, and if you're bullish you have to clear it out before anyone takes you seriously. It is not a reliable short-run inflation hedge — the 1980s and 2010s both embarrass that claim. It is not a doomsday asset; if the world truly ends, a metal bar helps you little. And it generates no cash flow, so you cannot value it the way you value a business. Every one of these is true, and I still own gold. The trick is to hold it for what it actually does, not for a story someone sold you.

What gold actually is

Gold is not an investment in the productive sense — it is a monetary asset whose entire job is to be nobody's liability. Every rupee, bond and bank deposit you own is someone else's promise. Gold is the one holding on your statement that no government, company or counterparty can dilute, default on, or freeze. That's the whole thesis. It doesn't compound; it endures. You don't own it to get rich, you own it so that a specific category of disaster — currency debasement, capital controls, counterparty failure — doesn't wipe you out.

The case for now, specifically

I'm bullish beyond the permanent case, and I'll say why plainly. Central banks — not retail, not ETFs — have been the marginal buyer, accumulating gold at a pace not seen in decades, and they are price-insensitive buyers with balance sheets that dwarf any fund. When the institutions that issue currency are themselves swapping reserves into the one asset outside the currency system, that is a signal about confidence in the system, from the people running it. Add real rates that cannot stay high forever against the debt loads they service, and you have a setup where gold's biggest headwind — the opportunity cost of holding a non-yielding asset — eases.

The Indian angle nobody costs correctly

For an Indian investor gold is also a currency trade in disguise. Gold is priced in dollars; you buy it in rupees. Over decades the rupee has structurally depreciated against the dollar, which means Indian gold returns carry an embedded currency tailwind that a dollar-based investor never sees. This is why gold has quietly done its job in Indian portfolios far better than the global price chart suggests — and

why the sovereign gold bond, which pays a coupon on top of that, was one of the better instruments the government ever offered.

The honest case against

My conviction shouldn't blind you to the counter-case. Gold can go nowhere for a decade — it did, twice — and the opportunity cost of a dead decade in gold versus compounding equity is brutal. Its price is driven by forces (central-bank policy, sentiment, real rates) that nobody forecasts well, including me. And the 'nobody's liability' virtue only matters if you own it in a form that's actually yours — allocated, physical, or sovereign bonds — not a paper claim that reintroduces the very counterparty risk you bought gold to escape. If your gold is someone's IOU, you don't own gold, you own their promise to owe you gold.

How much, and in what form

I treat gold as insurance, not a bet — a standing allocation, sized so that it matters if the disaster comes and doesn't cripple returns if it doesn't. Sovereign gold bonds first for the coupon and tax treatment where available, physical or allocated holdings second, paper ETFs a distant last. You are not trying to time it. You are trying to always have some, so that the one asset on your statement that answers to no one is there when every other line item is somebody's broken promise.

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